(v) **Amount column (Details)**

Amount column is divided into two parts, i.e., details and total. The details column is used to record the amount of various individual items purchased from a particular supplier. The amount of trade discount allowed is deducted. This column is used for adjustment of additions and subtractions.

(vi) **Total amount column (Total)**

The net amount payable to the supplier of goods is recorded in the total amount column.

6.5.1 Invoice

Entries in the purchases day book are made from invoices which are popularly known as bills. Invoice is a business document or bill or statement, prepared and sent by the seller to the buyer giving the details of goods sold, such as quantity, quality, price, total value, etc. Thus, the invoice is a source document of prime entry both for the buyer and the seller.

6.5.2 Trade discount

Trade discount is a deduction given by the supplier to the buyer on the list price or catalogue price of the goods. It is given as a trade practice or when goods are purchased in large quantities. It is shown as a deduction in the invoice. Trade discount is not recorded in the books of accounts. Only the net amount is recorded. Example: Suppose the sale of goods for ₹10,000 was made and 10% was allowed as trade discount, the entry regarding sales will be made for ₹ 9,000 (10,000 – 10 per cent of 10,000). In the same way, purchaser of goods will also record purchases as ₹ 9,000).



Student activity

Think: Is trade discount the same as cash discount?

Illustration 1

Record the following transactions in the purchases book of Shanthi Furniture Mart:

2017	
March 1	Purchased from Mohan Furniture Mart, Madurai
	20 chairs @ ₹ 450 each
	2 tables @ ₹ 1,000 each
	Less: Trade discount @ 10%
March 6	Purchased for cash from Welcome Furniture, Vellore
	2 almirahs @ ₹ 2,000 each
March 7	Bought from Ramesh & Co., Royapettah
	2 stools @ ₹ 500 each
	10 rolling chairs @ ₹ 200 each
	Delivery charges and cartage ₹ 150
March 20	Purchased 2 computers for office use from Anandan & Co., Adyar
	on credit for ₹15,550 each
March 21	Purchased from Kamal & Co., Karaikkal
	10 chairs @ ₹ 750 each
	15 steel cabinets @ ₹ 1,500 each
	Packing and delivery charges ₹ 250
	Less: Trade discount @ 10%

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